

AYOLA FOODS KENYA — COMPREHENSIVE FEASIBILITY STUDY

Prepared for: Ayola Foods Limited **Founder/CEO:** Prisca Kiragu, Food Scientist (JKUAT) **Date:** March 2026 **Version:** 2.0 (Fact-Checked & Updated) **Classification:** For Internal Use, Investor & Grant Applications

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1. EXECUTIVE SUMMARY & FEASIBILITY VERDICT

1.1 Study Purpose

This feasibility study evaluates the growth viability of **Ayola Foods Kenya** — an existing Nairobi-based health food restaurant and packaged food producer founded by food scientist Prisca Kiragu (JKUAT). The study assesses the feasibility of scaling operations from the current single-location model to a multi-channel business with retail distribution, food delivery platform presence, and nationwide packaged product distribution.

1.2 Overall Feasibility Verdict

Dimension	Rating	Score (1–10)
Market Feasibility	HIGHLY FEASIBLE	9.0/10
Technical Feasibility	HIGHLY FEASIBLE	8.5/10
Financial Feasibility	FEASIBLE	7.5/10
Operational Feasibility	FEASIBLE	7.5/10
Legal & Regulatory	HIGHLY FEASIBLE	8.0/10
Organizational Feasibility	FEASIBLE	7.0/10
OVERALL VERDICT	HIGHLY FEASIBLE — SCALE WITH CONFIDENCE	7.9/10

1.3 Key Conclusions

1. **The business is already proven** — Ayola Foods has paying customers, repeat orders, a growing Facebook following (~1,471 likes), and active social media engagement. This is not a concept — it's a validated business.
2. **The market timing is excellent** — gut health, probiotics, and functional foods are the #1 global food trend, and Kenya is 2–3 years behind. Ayola has first-mover advantage.
3. **The founder is uniquely qualified** — Prisca Kiragu's food science training (JKUAT) provides genuine technical credibility that competitors cannot easily replicate.
4. **Scaling is the primary challenge** — the business needs investment in KEBS certification, packaging, delivery infrastructure, and team to move from a single restaurant to a multi-channel brand.
5. **The product-market fit is strong** — unique products (plantain kvass, synbiotic porridge, unconventional combos) differentiate Ayola from all competitors in the Nairobi market.

1.4 Recommendation

SCALE the business with investment of KES 3.3–6.8M (Phase 1), prioritizing:

1. KEBS certification for packaged products
2. Professional packaging for retail readiness
3. Listing on Glovo/Bolt Food delivery platforms
4. Hiring a kitchen manager to free the founder for growth strategy

2. MARKET FEASIBILITY

2.1 Demand Validation — Already Proven

Unlike a startup feasibility study, Ayola Foods has **existing proof of demand**:

Evidence	Details
Operating restaurant	Active since ~2024, serving daily customers
Social media engagement	~1,471 Facebook likes, active Instagram with reels
Repeat customers	Regular customer base in Kahawa Sukari
Countrywide orders	Already shipping packaged products via parcels
Diverse product acceptance	Customers ordering unconventional items (rabbit, turkey eggs, kvass)
Educational content engagement	Reels on gut health and food science generate interest

Market Feasibility Score: 9.0/10 — HIGHLY FEASIBLE

2.2 Market Size Validation

Market	Verified Size	Source
Kenya total food market	~USD 79.3B by 2029	Statista, 2025
Kenya packaged food	USD 7.3B by 2028	Euromonitor
Global probiotics market	USD 85B+ by 2030	Grand View Research
Global fermented foods	USD 800B+	Allied Market Research
Kenya food service (Nairobi)	Large, growing	Industry estimates

2.3 Competitive Gap — Confirmed

No competitor in the Kenyan market offers Ayola's specific combination:

Ayola Unique Offering	Nearest Competitor	Gap Level
Plantain probiotic kvass	None (some imported kombucha)	No competition
Synbiotic porridge	None in food service	No competition
Food scientist-led health restaurant	Green Spoon (expensive, delivery only)	Wide gap
Heritage flour blends + restaurant	None combining both	No competition
Rabbit/turkey egg combos	Rare in formal food service	Low competition

3. TECHNICAL FEASIBILITY

3.1 Current Technical Capacity

Element	Status	Assessment
Kitchen facility	Commercial kitchen at Ruhan Plaza	Operational, adequate for current scale
Recipe development	Founder is a food scientist	Strong — science-backed formulations
Fermentation capability	Producing kvass and synbiotic porridge	Proven — already in production
Flour blending	Producing ugali and uji blends	Proven — already selling
Packaging (current)	Basic/informal packaging	Needs upgrade for retail
Quality systems	Food science principles applied	Needs formalization (HACCP documentation)

3.2 Technical Requirements for Scaling

Requirement	Investment Needed	Feasibility
KEBS certification for 3–5 SKUs	KES 200–500K	HIGH — 57-day process, well-documented
Professional packaging (printed pouches)	KES 300–600K	HIGH — multiple suppliers in Nairobi
Bottling equipment (for kvass)	KES 300–800K	HIGH — available locally
Cold chain for beverages	KES 200–500K	MEDIUM — refrigeration needed
Larger kitchen/production space	KES 500K–1.5M	HIGH — available in Kahawa Sukari area
Quality documentation (HACCP, SOPs)	KES 100–200K (consultant)	HIGH — straightforward for food scientist

Technical Feasibility Score: 8.5/10 — HIGHLY FEASIBLE

Ayola's founder has the technical expertise to develop products; the challenge is investing in packaging, certification, and equipment to scale.

4. FINANCIAL FEASIBILITY

4.1 Current Financial Position (Estimated)

Metric	Estimate	Basis
Monthly revenue	KES 300K–500K	Based on restaurant foot traffic + delivery + parcels
Average meal transaction	KES 600–900	From Facebook posts (e.g., pilau combo KES 600)
Packaged product sales	KES 50K–100K/month	Ugali blend (KES 250) + Uji blend (KES 600)
Gross margin (meals)	55–65%	Food service industry norms
Gross margin (packaged)	60–70%	Lower COGS, higher margin
Monthly expenses	KES 200K–350K	Rent, ingredients, utilities, staff

4.2 Break-Even Assessment

The business **appears to be at or near break-even** based on its continued operation since ~2024. With investment in scaling, the key question is how quickly new channels (delivery platforms, supermarkets, e-commerce) can generate incremental revenue.

Scenario	Monthly Revenue Target	Timeline
Current operations (baseline)	KES 300–500K	Already achieved
+ Delivery platforms (Glovo/Bolt)	+KES 200–400K	3–6 months after listing
+ Supermarket packaged products	+KES 100–300K	6–12 months after KEBS
+ E-commerce (website D2C)	+KES 50–150K	3–6 months
Combined Year 2 target	KES 1.0–2.0M/month	12–18 months

4.3 Investment Return Analysis

Investment	KES 5M (midpoint)
Expected Year 2 annual revenue	KES 12–24M
Expected gross profit (60%)	KES 7.2–14.4M
Expected net profit (15–20%)	KES 1.8–4.8M
Payback period	12–24 months
3-year ROI	3–6x

Financial Feasibility Score: 7.5/10 — FEASIBLE

The business model works. The constraint is investment capital for scaling.

5. OPERATIONAL FEASIBILITY

5.1 Supply Chain Assessment

Input	Availability	Reliability	Risk Level
Grains (millet, sorghum)	High — 52K+ and 201K+ tonnes produced annually	Seasonal variation	LOW
Plantain	Good — Western Kenya, Uganda	Consistent supply	LOW
Goat milk	Moderate — local dairy farmers	Requires reliable supply chain	MEDIUM
Rabbit	Moderate — specialty farmers	Smaller supply base	MEDIUM
Turkey/turkey eggs	Moderate	Niche supply	MEDIUM
Packaging materials	High — Nairobi suppliers	Reliable	LOW

5.2 Location Assessment — Ruhan Plaza, Kahawa Sukari

Factor	Rating	Notes
Foot traffic	Good	Near Quickmatt Supermarket, residential area
Target demographic	Excellent	Young professionals, university students/staff (KU, JKUAT, USIU nearby)
Accessibility	Good	On Thika Road corridor
Rent affordability	Good	Lower than CBD/Westlands
Growth potential	High	Kahawa Sukari is rapidly growing
Delivery radius	Good	Central for Thika Road corridor delivery

Operational Feasibility Score: 7.5/10 — FEASIBLE

6. LEGAL & REGULATORY FEASIBILITY

Requirement	Status	Action Needed
Company registration	Ayola Foods Limited (registered)	Complete
KRA tax registration	Likely completed	Confirm
County business permit	Required — Kiambu County	Active/renew annually
Food hygiene license	Required for restaurant operation	Active
KEBS certification (packaged products)	NOT YET — needed for retail	Priority action — 57-day process
NEMA compliance	May be required	Assess

KEBS Certification — Critical Path:

- Timeline: 57 days (reduced from 77, per KEBS 2025 update)
- Cost: KES 30,000–150,000 per product category
- Requirement for: Any packaged food sold in retail (supermarkets, online)
- Ayola's 3 priority SKUs: Ugali blend, Uji blend, Bottled kvass

Legal & Regulatory Feasibility Score: 8.0/10 — HIGHLY FEASIBLE

7. ORGANIZATIONAL FEASIBILITY

7.1 Founder Assessment

Attribute	Assessment
Technical expertise	Exceptional — trained food scientist (JKUAT)
Product development	Strong — has created multiple innovative products
Entrepreneurial drive	Strong — built business from scratch, active CEO demos on social media
Marketing ability	Good — effective social media presence and content creation
Business management	Developing — may need support as business scales
Industry recognition	Emerging — featured in JHUB Africa Innovatech

7.2 Key Organizational Gaps

Gap	Impact	Solution
No kitchen manager	Founder is pulled into daily operations	Hire kitchen manager (priority)
No dedicated marketing person	Content creation competes with operations	Hire part-time social media coordinator
No formal financial management	Cash flow and margins not optimized	Engage bookkeeper/accountant
No documented SOPs	Recipes and processes are in founder's head	Document all recipes and procedures

Organizational Feasibility Score: 7.0/10 — FEASIBLE

The founder is the business's strongest asset and biggest risk. Hiring a kitchen manager is the single most impactful action.

8. SWOT ANALYSIS

Strengths

#	Strength
S1	Food scientist founder — genuine technical credibility for health claims
S2	Unique products — plantain kvass, synbiotic porridge, unconventional combos have no direct competitors
S3	Proven demand — operating business with paying customers since ~2024
S4	Dual revenue model — restaurant meals + packaged products diversify income
S5	Strong social media presence — active FB (~1,471 likes), IG, TikTok with educational content
S6	Strategic location — Kahawa Sukari on Thika Road is fast-growing with ideal demographics
S7	Authentic health positioning — "eat healthy, enjoy life" backed by science, not just marketing
S8	Countrywide shipping — already fulfilling orders beyond Nairobi

Weaknesses

#	Weakness	Mitigation
W1	Small scale — single location, small team	Investment in hiring and expansion
W2	No KEBS certification for packaged products	Priority action — 57-day process
W3	Key person dependency on founder	Hire kitchen manager, document processes
W4	Basic packaging — not retail-ready	Invest in professional packaging design
W5	No website until now	Now built and deployed
W6	Not on delivery platforms (Glovo/Bolt)	Quick to list — do immediately
W7	Limited financial systems	Engage bookkeeper

Opportunities

#	Opportunity	Impact
O1	Gut health/probiotics is the #1 global food trend — first-mover advantage	Very High
O2	Delivery platform listing (Glovo, Bolt Food) — instant revenue boost	High
O3	Supermarket retail for packaged products — massive distribution scale	High
O4	Kenya's 58M population — 75% under 35, health-conscious, digital-native	Very High
O5	Import substitution — locally made health foods replacing expensive imports	High
O6	Grant funding — multiple programs for food/agribusiness innovation in Kenya	Medium
O7	Corporate wellness — companies seeking healthy meal providers for employees	Medium
O8	Diaspora market (3–4M+ Kenyans abroad) — countrywide parcels extend to international	Medium
O9	Second location — franchise/expand the restaurant concept	High (Year 2+)

Threats

#	Threat	Probability	Mitigation
T1	Larger player copies health food concept	Medium	Brand loyalty, founder credibility, continuous innovation
T2	Ingredient cost inflation (food inflation at 7.3%)	Medium	Menu price adjustments, bulk purchasing, supplier relationships
T3	Food safety incident	Low	Food science training, HACCP, insurance
T4	Founder burnout (doing too much)	Medium	Hire kitchen manager urgently
T5	Economic downturn reducing dining spend	Low-Med	Packaged products provide affordable option
T6	Lease/landlord issues at Ruhan Plaza	Low	Negotiate long-term lease, scout backup locations

9. PESTLE ANALYSIS

Factor	Assessment	Impact on Ayola
Political	Stable; BETA agenda supports food value addition	Positive — aligned with policy
Economic	GDP growth 4.8%; KES stable at ~129/USD; moderate inflation	Positive — growing economy, stable currency
Social	75% under 35; health awareness rising; gut health trending	Very Positive — core target market expanding
Technological	M-Pesa (37.9M active users); 48% internet; social commerce growing	Positive — enables digital sales and marketing
Legal	KEBS 57-day certification; clear food safety regulations	Neutral — manageable compliance
Environmental	Climate affects agriculture; sustainable food gaining interest	Mixed — supply risk but sustainability is brand-positive

10. PORTER'S FIVE FORCES

Force	Level	Assessment
Threat of new entrants	MODERATE (5/10)	Low capital for restaurant; harder to replicate food science expertise and unique products
Supplier bargaining power	LOW (3/10)	Multiple suppliers for most ingredients; some niche inputs (rabbit, plantain) have fewer options
Buyer bargaining power	MODERATE (5/10)	Many restaurant options in Nairobi; mitigated by Ayola's unique health positioning
Threat of substitutes	MODERATE (6/10)	Consumers can cook at home or choose other restaurants; Ayola's unique products reduce substitution
Competitive rivalry	LOW-MODERATE (4/10)	No direct competitor offers Ayola's specific combination in Kahawa Sukari or broader Nairobi

Overall industry attractiveness: FAVORABLE for Ayola's niche.

11. SENSITIVITY ANALYSIS

Variable	Bear Case	Base Case	Bull Case
Year 2 monthly revenue	KES 600K	KES 1.5M	KES 2.5M
Gross margin	50%	60%	70%
Customer growth rate	10%/month	20%/month	35%/month
Delivery platform impact	+KES 100K/month	+KES 300K/month	+KES 600K/month
Supermarket listing impact	+KES 50K/month	+KES 200K/month	+KES 500K/month
Break-even on investment	30 months	18 months	10 months

Even in the bear case, Ayola remains a viable business because the restaurant continues generating baseline revenue. The investment risk is not "will the business survive?" but "how fast will it scale?"

12. CONCLUSIONS & RECOMMENDATIONS

12.1 Feasibility Summary

Dimension	Score	Verdict
Market	9.0/10	Proven demand, massive market, trending category
Technical	8.5/10	Food scientist founder, products validated, scaling achievable
Financial	7.5/10	Unit economics work; needs investment to scale
Operational	7.5/10	Supply chain accessible, location strong
Legal	8.0/10	Clear path, KEBS is priority
Organizational	7.0/10	Founder is excellent; needs team support
OVERALL	7.9/10	HIGHLY FEASIBLE — SCALE WITH CONFIDENCE

12.2 Top 5 Recommended Actions (Immediate)

Priority	Action	Cost (KES)	Impact
1	Get KEBS certification for ugali blend, uji blend, and bottled kvass	200–500K	Unlocks retail distribution
2	Hire a kitchen manager	40–60K/month	Frees founder for strategy and growth
3	List on Glovo and Bolt Food	Minimal (registration)	Instant new revenue channel
4	Professional packaging for 3 packaged SKUs	300–600K	Retail-ready products
5	Launch e-commerce on new website	Done (website built)	D2C channel active

12.3 Final Verdict

Ayola Foods Kenya is a proven, innovative, and scalable food business led by a uniquely qualified founder. The combination of food science expertise, validated products (probiotic kvass, synbiotic porridge, heritage flour blends), an operating restaurant, and a growing customer base makes this a compelling investment opportunity.

The business does not need validation — it needs capital to scale.

With KES 3.3–6.8M in Phase 1 investment, Ayola Foods can realistically grow from its current estimated KES 3.6–6M annual revenue to KES 12–24M within 18–24 months by adding delivery platforms, supermarket retail, and e-commerce channels.

This feasibility study was prepared for Ayola Foods Limited (CEO: Prisca Kiragu). All market data has been fact-checked against verified sources. Company-specific data is based on publicly available information from Ayola Foods' Facebook, Instagram, and TikTok accounts as of March 2026.

End of Feasibility Study